

4. Hasan v. Hasan
24-1408848

Before the court is a motion for judgment on the pleadings by defendants Malik Hassan (Malik) and Seeme Hasan (Seeme) as to the First Amended Complaint (FAC) filed by plaintiffs Muhammad Ali Hasan (Ali) and Jennie Virgilio (Jennie). The motion is **GRANTED** with 14 days leave to amend, as set forth herein.

A MJOP has the same function as a general demurrer but is made after the time for demurrer has expired. Except as provided by *CCP § 438*, the rules governing demurrers apply. (Rutter CPBT § 7:275-277; *C.C.P. § 438(d)*) ["The grounds for motion provided for in this section shall appear on the face of the challenged pleading or from any matter of which the court is required to take judicial notice...."])

1st Cause of Action: Breach of Contract and 2nd Cause of Action: Specific Performance

The statute of limitations for breach of an oral contract is two years. (*Code of Civil Procedure §339(1)*.) Similarly, the statute of limitations for specific performance of an oral contract is two years. (*Ibid.*)

Based on the allegations in the FAC, the within action arises from a dispute between two parents and their son and daughter in law. Plaintiffs (son and daughter in law) allege that Malik and Seeme (parents to Ali) made a "verbal promise" to them that they could "live rent free at the property, did not have to pay any utilities, HOA assessments, Insurance or Taxes, can purchase the Property, at any time, at their convenience for the then existing July 2016 Fair Market Value of \$1.5 Million dollars, provided they fix up and maintain the property in good condition, until they purchased the Property." (FAC ¶7(a).) Plaintiffs allege they made substantial repairs to the property as required under the agreement.

At the end of 2018, the plaintiffs exercised their option to purchase the property by informing Malik that they were now ready to purchase the property at the agreed price of \$1.5 million dollars. (FAC ¶13) However, Malik rejected plaintiffs' offer to buy. (FAC ¶15) "A contract cause of action does not accrue until the contract has been breached." (*Spear v. California State Auto. Assn.* (1992) 2 Cal. 4th 1035, 1042.) "It is the general rule that a cause of action accrues when a suit may be maintained thereon, and the statute of limitations then begins to run." (*Maguire v. Hibernia Sav. & Loan Soc.* (1944) 23 Cal. 2d 719, 733) Here, when Malik rejected Ali's offer to buy the property pursuant to the terms of their agreement, the limitations period began to run.

On 6/24/24, plaintiffs filed the instant action asserting the defendants had breached the agreement to sell. This was well past the two year statute of limitations.

In opposition, plaintiffs argue there is an equitable basis for tolling the statute of limitations. As to equitable estoppel, such "comes into play only after the limitations period has run and addresses ... the circumstances in which a party will be estopped from asserting the statute of limitations as a defense to an admittedly untimely action

because his conduct has induced another into forbearing suit within the applicable limitations period. [Equitable estoppel] is wholly independent of the limitations period itself and takes its life ... from the equitable principle that no man [may] profit from his own wrongdoing in a court of justice.' " ... Thus, equitable estoppel is available even where the limitations statute at issue expressly precludes equitable tolling..." (*Lantzy v. Centex Homes* (2003) 31 Cal. 4th 363, 383-84.) However, the opposition does not point to allegations in the FAC supporting this equitable estoppel and the Court did not find such.

Plaintiffs also mention that equitable tolling extends the statute of limitations. (Op. at 14:11-23) Again, the opposition does not cite to such allegations in the FAC. Overall, the opposition does not cite to allegations in the FAC supporting a claim for extension of the statute of limitations based on equitable grounds.

Accordingly, the motion is **GRANTED** as to 1st and 2nd causes of action, with 14 days leave to amend.

3rd Cause of Action – Declaratory Relief

To state a cause of action for declaratory relief, Plaintiff must allege: (1) a proper subject of declaratory relief, and (2) an actual controversy involving justiciable questions relating to the party's rights or obligations. (*Wilson & Wilson v. City Council of Redwood City* (2011) 191 Cal.App.4th 1559, 1582.)

"Declaratory relief operates prospectively, serving to set controversies at rest. If there is a controversy that calls for a declaration of rights, it is no objection that past wrongs are also to be redressed; but there is no basis for declaratory relief where only past wrongs are involved. Hence, where there is an accrued cause of action for an actual breach of contract or other wrongful act, declaratory relief may be denied." [Emphasis added.] (*Osseous Techs. of Am., Inc. v. DiscoveryOrtho Partners LLC* (2010) 191 Cal. App. 4th 357, 366.) "Moreover, under Code of Civil Procedure section 1061, "[t]he court may refuse to exercise the power granted by this chapter in any case where its declaration or determination is not necessary or proper at the time under all the circumstances." This is a discretionary determination, subject to reversal only if that discretion is abused." (*Otay Land Co. v. Royal Indem. Co.* (2008) 169 Cal. App. 4th 556, 563.)

Here, the alleged dispute over whether there was a breach of the agreement to sell the property is the subject of the breach of contract cause of action and is barred by the SOL. The statute of limitations for declaratory relief actions is governed by the underlying claim. (See *Maguire v. Hibernia Savings & Loan Soc.* (1944) 23 Cal.2d 719, 734.)

Further, the assertion that Ali is a 33.3% owner of the property is based on the assertion that the property was improperly transferred from the two Spendthrift Trusts (in which he was a 33.3% beneficiary) into the Falcon Living trust in which he was not a beneficiary. (FAC

		¶¶37, 40 and 41) This describes a dispute about an event that took place in the past. Similarly, the request to have the court determine the prior transfer of the property from the two Spendthrift Trusts to the Falcon Trust is void describes a dispute about a past wrong. As Plaintiffs fail to allege an existing controversy, the motion is GRANTED as to the 3rd cause of action for Declaratory Relief, with 14 days leave to amend. 4th Cause of Action – Quiet Title The elements of a cause of action for quiet title are: (i) a description of the property including both its legal description and its street address or common designation; (ii) the plaintiff’s title and the basis upon which it is asserted; (iii) the adverse claims as against which a determination is sought; (iv) the date as of which a determination is sought and, if other than the date the complaint is filed, a statement why the determination is sought as of that date; and (v) a prayer for determination of plaintiff’s title against the adverse claims. (<i>Cal. Civ. Proc. Code § 761.020.</i>) “It has been held consistently that the owner of an equitable interest cannot maintain an action to quiet title against the owner of the legal title.” (<i>Stafford v. Ballinger</i> (1962) 199 Cal. App. 2d 289, 294–95; see also, <i>Lewis v. Superior Ct.</i> (1994) 30 Cal. App. 4th 1850, 1866.) Here, the FAC alleges: “Plaintiffs own an equitable interest in the property by virtue of the Verbal Promise and seek to quiet title against any and all adverse claims of Defendants and their various Trusts, which they improperly treated as their own personal individual assets.” (FAC ¶48) Because plaintiffs allege an equitable interest in the property, the quiet title action is insufficiently pled. Therefore the motion is GRANTED as to the 4th cause of action, with 14 days leave to amend. Defendants’ request for judicial notice is GRANTED, as to the existence of the documents. Plaintiffs’ request for monetary sanctions is DENIED. <i>Defendants shall give notice of this ruling.</i>
5.	Keno Capital, LLC v. Oakleaf Holding LLC 23-1313683	Cross-Defendants Keno Capital, LLC and Jeremey Jergensen’s (“CD” together) motion to strike the cross-complaint filed by defendants/cross-complainants Oakleaf Holding, LLC, Orchid Management LLC, and John L. Sorensen (“Defendants”) is GRANTED. Defendants filed their original answer to the original complaint in this matter on 05/02/23. They subsequently filed two more answers to the amended complaints on 02/27/26 and 03/23/26; the cross-complaint was not filed until 03/23/26, almost three years after the original answer. The original trial date in this action was set on 08/25/23. (ROA 30.)